SCHEDULE PEAK DAY CREDIT-TOU

COMMERCIAL & INDUSTRIAL PEAK DAY CREDIT PROGRAM

SPECIAL CONDITIONS (Continued)

3. Program Operation:
   c. Meter Reads. The Utility will normally read meters each month with minor exceptions. If, because of unusual conditions or for reasons beyond the Utility's control, the customer's meter cannot be read on the scheduled reading date, or if for any reason accurate meter data is not available, the Utility will make estimates in a manner consistent with its applicable tariff rules.

4. Program Triggers: The Utility will provide notice of a C&I Peak Day Credit event by 3:00 p.m. the Day Ahead using a day-ahead forecast of the maximum temperature at Miramar Marine Corps Air Station (MCAS). An event may be triggered if the forecasted temperature is equal to or greater than 84°F and the Utility actual system load has exceeded 3,837 MW. The source for forecasts will be the Weather Channel webpage for Miramar located at: http://www.weather.com/weather/local/USCA0983. A C&I Peak Day Credit event may also be initiated as warranted by extreme system conditions such as special alerts issued by the California Independent System Operator, or under conditions of high forecasted California spot market prices or for testing/evaluation purposes. The Utility will evaluate and consider all relevant information, including temperature and system load conditions, as well as other system operational conditions, energy market conditions and other emergency conditions in determining when to trigger a C&I Peak Day Credit event. T

5. Program Availability: C&I Peak Day Credit is available for the five (5) summer billing periods including service from May 1 through September 30 (excluding Holidays, as defined in Rule 1). The Peak Day Credit program is limited to fifteen (15) events during the five (5) month program period.

6. Customer Specific Baseline: In order to receive a bill credit, customers must be enrolled in the C&I Peak Day Credit Program and have a valid baseline usage established by the first event of that billing period.

   a. The Customer Specific Baseline (CSB) period is defined as the average consumption for the hours of 11 a.m.-6p.m. for the three (3) highest days from within the immediately preceding ten (10) similar non-holiday week days prior to the event. The CSB will exclude weekends, holidays, and days when a customer was paid to reduce load, when load reductions were requested, or when rotating outages were called.

7. Incentive/Energy Payment: A minimum reduction of 10% is required to receive a bill credit. Customers achieving at least a 10% reduction will receive a 10% credit. Customers achieving a reduction of between 10% and 20% will receive a bill credit corresponding to the actual percentage reduction achieved. Customers exceeding 20% reductions will only be rewarded a 20% credit. Calculations for percentage reductions will be rounded to the nearest whole number for purposes of determining who qualifies for the bill credit. However, figures displayed on customer bills in the section titled "Your Energy Usage History" will be displayed to one decimal place. For example, a customer whose percentage of reduction was 9.4% would see this figure in the Percent Change column of Energy Usage History and would not receive a bill credit on their bill. A customer whose percentage reduction was in excess of 9.5% would see this figure in the Percent Change column and, additionally, would receive a 10% bill credit as a separate line item in the "Other Account Charges" section of their bill.

(Continued)